Nirman Trust I 03 2025

Originator: IKF Home Finance Limited

November 13, 2026

Instrument[#]	Name of the Regulator[1]	Amount (₹ crore)[@]	Balance Tenure (months)[*]	Credit Enhancement[$] (₹ crore)			Rating[2]	Rating Action
				Cash Collateral	Subordination			
					Over Collateral[&]	Equity Tranche PTCs		
Series A PTCs	RBI	30.25	208	3.86	1.55	4.05	CARE AAA (SO)	Reaffirmed
Equity Tranche PTCs		2.41				-	CARE AA (SO)	Reaffirmed

Details of instruments/facilities in Annexure-1.

[#]Series A pass-through certificates (PTCs) are rated based on the timely payment of interest and the payment of principal on or before the final legal maturity date. The Equity Tranche PTCs are rated based on ultimate interest until the Series A PTCs are outstanding and timely interest post redemption of Series A PTCs, and ultimate principal payment on or before the final legal maturity date.

[&]There has been build-up of over collateral due to Turbo amortisation

[@]After October 2026 payout.

[*]Tenure/door-to-door maturity may change due to prepayments or changes in interest rates.

Excess interest spread (EIS) shall be used to prepay the Series A PTCs on a monthly basis until the Series A PTCs are fully redeemed.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed ratings of Series A PTCs and Equity Tranche PTCs issued by Nirman Trust-II 03 2025, backed by home loan receivables originated by IKF Home Finance Limited (IKFHFL), at 'CARE AAA (SO)' [pronounced as Triple A (Structured Obligation)] and at 'CARE AA (SO)' [pronounced as Double A (Structured Obligation)] respectively.

Reaffirmation in ratings is primarily based on performance of underlying loans in the last 19 months post-securitisation, robust legal structure, well-defined payment mechanism, significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), subordination of Equity Tranche PTCs (Only for Series A PTCs) and excess interest spread (EIS), servicing capability and overall performance of IKFHFL.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

For Series A PTCs:

None

For Equity Tranche PTCs:

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ days past due [DPD] as percentage of initial pool principal outstanding [POS]) of less than 2% and the sustained high collection efficiency (cumulative collection efficiency of over 98%).
- Build-up of CC of over 2x the initial proposed as a percentage of the balance POS).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD as percentage of initial pool POS) of over 5% and the sustained lower collection efficiency (cumulative collection efficiency of less than 90%).
- Deterioration in the credit profile of the originator.
- Utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

[2]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

[2]Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Analytical approach

The rating reaffirmation is based on inter alia, observed and expected pool performance, presence of credit enhancement (CE) and adherence to the transaction structure.

Detailed description of key rating drivers

Pool Performance:

The transaction is structured at timely interest and ultimate principal (TIUP) with turbo amortisation, and equity tranche PTCs features ultimate interest and ultimate principal (UIUP) until Series A PTCs are outstanding; post which Timely Interest and Ultimate Principal (TIUP). The pool has amortised by ~24% in 19 months post-securitisation. As of October 2026 payout, overdue (OD; as a percentage of initial pool POS) is 0.09% and CC, which is in the form of fixed deposit (FD), stands at ~10.5% (as percentage of balance pool POS) with nil utilisation. CE available is sufficient to sustain ratings for the balance tenure.

Pool summary (as of September 2026 payout)	
Months post-securitisation	19
Pool amortisation	23.89%
30+ delinquency (percentage of the initial pool POS)	1.15%
90+ delinquency (percentage of the initial pool POS)	0.34%
Overdue amount (percentage of the initial pool POS)	0.09%
Cumulative Collection Efficiency (CCE)	99.62%
CC (percentage of the balance PTC POS)	11.81%
Cumulative prepayments	22.36%

Key strengths:

- CC as a percentage of PTC POS is ~12%, which remains unutilised, and subordinated Equity Tranche PTCs (Only for Series A PTCs), which is ~8% as percentage of Series A PTC POS.
- Build-up of OC of ~11% (as percentage of balance pool POS).
- Cumulative collection efficiency stands at ~99%.
- The pool has performed on expected lines for 19 months (post-securitisation) and has amortised ~24%.
- Well-defined payment mechanism and adherence to the transaction structure.
- The 90+ DPD in the pool is 0.34 (as percentage of initial pool POS).

Key weakness:

- High concentration with top three states accounting for ~85% (as percentage of balance pool POS).

Liquidity:

For Series A PTCs: Strong

Inherent liquidity in the structure is strong. Interest payouts for Series A PTCs are promised monthly, and post redemption of Series A PTCs, interest payouts for Equity Tranche PTCs are also promised monthly while the principal of Series A PTCs and Equity Tranche PTCs is promised to be paid by final legal maturity. In case of delinquency, the payouts are expected to be supported by CC (in the form of FDs), OC, principal subordination in the form of subordinated Equity Tranche PTCs (only for Series A1 PTCs) and EIS.

For Equity Tranche PTCs: Adequate

The inherent liquidity in the structure for the Equity Tranche PTCs is adequate, and it is supported by CC and the OC.

Key rating assumptions and adequacy of credit enhancement:

CareEdge Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CareEdge Ratings has analysed pool performance and overall portfolio performance of the originator. Considering borrower profile and nature of loan, pool characteristics and the portfolio performance, CareEdge Ratings has taken average shortfall from 4.00-5.00% of POS. Base case shortfalls were stressed along with other key factors such as timing of shortfalls, recovery assumptions, and time to recovery. CareEdge Ratings has found that CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. Pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50-1.00%.

Key risks, concerns and mitigants:

The securitisation transaction involves several risks, including credit risk from borrower defaults, commingling risk due to time lags in fund deposits, basis risk from differing interest rate benchmarks, prepayment risk from early principal repayments, servicer

bankruptcy risk, legal risk regarding the validity of receivable transfers, and counterparty risk involving transaction parties. These risks are factored while assigning rating, wherever needed, and partially mitigated through credit enhancements, separate record-keeping, credit rating/profile of the originator, transaction structuring, true sale of receivables, legal opinion from independent legal counsel. The transaction structure also has provision to change counterparties including trustee and banker among others.

Applicable criteria

Policy on Default Recognition
CARE Ratings' methodology for asset/mortgage-backed securitisation

About the originator / servicer and industry

Industry classification

Macroeconomic Indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Finance	Securitisation

The housing finance arm of IKF, IKFHF was incorporated in August 2002 as IKF Financial Services Private Limited. IKFHF initially incorporated by its promoters as an associate company of IKF, the group's flagship entity, and a non-deposit-taking non-banking financial company (NBFC) engaged in asset financing across commercial vehicles, construction equipment, and the small and medium enterprise (SME) segment. In December 2018, IKF acquired majority stake in IKFHF. As on September 30, 2026, IKF Finance Limited holds a 100% stake in IKFHF.

IKFHF is primarily engaged in offering home loans and LAP. The company has established its presence across Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Maharashtra, and Gujarat. As of June 30, 2026, IKFHFL has an AUM of ₹1,925 crore, comprising 60.63% of Home Loans and 39.37% of Loans Against Property. The company operates across six states, with a network of over 100 branches and ~over 15,000 active borrowers and 25 live pools with ~₹540 crore of pool POS.

Key financial indicators - IKFHF

Brief financials (₹ crore)	FY25 (A)	FY26 (A)	H1FY27 (UA)
Total income	212.57	276.77	146.96
Profit after tax (PAT)	33.76	49.2	28.47
Assets under management (AUM)	1476.87	1907.68	1,988.34
On-book gearing (x)	4.44	2.37	2.36
AUM / tangible net-worth (TNW) (x)	6	3.89	3.81
Gross non-performing assets (NPA) / gross stage 3 (%)	1.23	1.65	2.03
Return on managed assets (ROMA) (%)	2.44	2.61	2.66
Capital adequacy ratio (CAR) (%)	27.79	45.65	45.11

A: Audited; UA: Unaudited; Note: these are latest financial results available

Key terms of servicer contract:

The servicing agreement has covered role of the originator as the collection and payment agent (CPA) for the special purpose vehicle (SPV) in managing collections from underlying borrowers, who have consented to such assignment through provisions incorporated in the respective loan agreements. The Servicer (originator) follows its standard procedures for collections, including recovery actions, and ensures timely transfers of funds to the SPV under an M+1 payment structure. The trustee monitors the sufficiency of funds for investor payouts one day prior to payout date and utilises cash collateral in case of shortfall. The Servicer is also submitting detailed reports on billing, collections (including prepayment), overdue amounts with aging thereof, cash flow schedules to the trustee and such other information as may be required by the trustee. The terms of the agreement have provisions for the appointment of an alternate servicer in case of servicer event of default.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities:

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass Through Certificates	RBI	Highly Complex	INE1VNO15018	27-Mar-2025	7.75	17-Feb-2044	30.25	CARE AAA (SO)
Pass Through Certificates	RBI	Highly Complex	-	27-Mar-2025	9.50	17-Feb-2044	2.41	CARE AA (SO)

Annexure-2: Rating history for last three years:

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Pass Through Certificates	LT	30.25	CARE AAA (SO)	-	1)CARE AAA (SO) (24-Nov-25) 2)CARE AAA (SO) (10-Jun-25)	1)Provisional CARE AAA (SO) (26-Mar-25)	-
2	Pass Through Certificates	LT	2.41	CARE AA (SO)	-	1)CARE AA (SO) (24-Nov-25) 2)CARE AA (SO) (10-Jun-25)	1)Provisional CARE AA (SO) (26-Mar-25)	-

LT-Long Term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

Not applicable

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact	Analytical Contacts
Mradul Mishra Director **CARE Ratings Limited** Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in **Relationship Contact** Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: 044-2850 1000 E-mail: pradeep.kumar@careedge.in	Vineet Jain Senior Director **CARE Ratings Limited** Phone: +91-22-6754 3456 E-mail: vineet.jain@careedge.in Sriram Rajagopalan Director **CARE Ratings Limited** Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Chirag Gambhir Associate Director **CARE Ratings Limited** Phone: +91-22-6754 3423 E-mail: chirag.gambhir@careedge.in

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